

Business Requirements Document (BRD)

Project Title: Procurement Process Automation

Document Control

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1. Project Overview

1.1 Purpose

The purpose of this document is to outline the business requirements for automating the procurement process. The project aims to streamline the procurement workflow, ensuring efficient handling of purchase requests, approvals, vendor interactions, purchase orders, and payment processes. This will reduce manual errors, increase efficiency, and provide transparency across all stages of procurement.

1.2 Project Scope

The scope of the project includes:

- Automating the creation and approval of purchase requests.
- Integration with vendors for Request for Quotation (RFQ) and Purchase Order (PO) processes.
- Automating the receipt, inspection, and acceptance of goods.
- Streamlining the payment process based on goods received and verified.

2. Business Objectives

- Objective 1: Improve procurement process efficiency by reducing the time taken for approvals and order placements.
- Objective 2: Enhance accuracy in the procurement process by minimizing manual data entry and errors.
- Objective 3: Ensure compliance with procurement policies through automated approvals and checks.
- Objective 4: Increase transparency and traceability in the procurement process for audit and reporting purposes.

3. Stakeholders

- Requester: Initiates the purchase request.
- Manager Level 1: Reviews and approves/rejects the purchase request based on the cost threshold.
- Manager Level 2: Approves purchase requests exceeding a specific cost threshold.
- Purchase Team: Handles RFQ, vendor selection, and PO creation.
- Vendor: Provides quotations and fulfills the purchase orders.
- Purchase Manager: Verifies and approves the PO and supplier selection.
- Warehouse Team: Receives, inspects, and verifies goods.

- Accounts Team: Manages invoice processing, payments, and resolves any payment-related issues.

4. Functional Requirements

4.1 Purchase Request Creation

- The system should allow requesters to create a purchase request with required details such as item description, quantity, and estimated cost.
- The request should be sent for approval based on the cost threshold.

4.2 Approval Workflow

- Manager Level 1 should approve or reject purchase requests within the defined cost limit.
- Requests exceeding a specific cost should escalate to Manager Level 2 for further approval.

4.3 RFQ and Vendor Interaction

- The Purchase Team should generate an RFQ and send it to multiple vendors.
- The system should collect and manage vendor quotations.
- The Purchase Team should analyze and select the best vendor based on predefined criteria.

4.4 Purchase Order (PO) Management

- The system should enable the creation of a PO based on the selected vendor.
- The Purchase Manager should verify and approve the PO and supplier details.
- The PO should be sent to the vendor for fulfillment.

4.5 Goods Receipt and Inspection

- The Warehouse Team should record the receipt of goods, including partial deliveries.
- An inspection process should verify the correctness and condition of the goods.
- The system should handle damaged or incorrect products and manage their replacement.

4.6 Invoice and Payment Processing

- The system should match the invoice with the PO and goods received note (3-way matching).
- If everything matches, the Accounts Team should process the payment.
- If discrepancies are found, the payment should be put on hold until issues are resolved.

5. Non-Functional Requirements

- Performance: The system should process and approve purchase requests within a specified time frame.
- Security: Ensure that only authorized personnel have access to different stages of the procurement process.
- Usability: The system should be user-friendly and provide easy navigation for all stakeholders.
- Scalability: The system should handle an increasing number of purchase requests and vendor interactions as the organization grows.

6. Assumptions

- All stakeholders have access to the procurement system.
- Vendors can receive and respond to RFQs electronically.

- The system will integrate with the organization's existing ERP system for seamless data flow.

7. Dependencies

- Integration with the existing ERP system.
- Availability of vendor data and contact information.
- Approval from key stakeholders to proceed with the project.

8. Risks

- Potential delays in approvals due to manual intervention.
- Resistance from stakeholders in adapting to the new system.
- Integration challenges with the current ERP system.

9. Acceptance Criteria

- The system successfully automates the procurement process as per the defined requirements.
- All stakeholders are trained and comfortable using the new system.
- A decrease in manual errors and processing time by 20% within the first three months of implementation.

10. Glossary

- RFQ: Request for Quotation
- PO: Purchase Order
- ERP: Enterprise Resource Planning

11. Approvals

- Name: [Approver's Name]
- Date: [Date]
- Signature: [Signature]